Making involves producing the fabric, components, and finishing the products in the firm's own production facilities. Buying involves contracting with another firm to produce the product. Make-or-buy decisions arise as the result of the development of new products, need for specialized equipment, unsatisfactory supplier or contractor performance, and increase or decrease in demand for established products.

12.6.3 Buyer Communication

After identifying a prospective buyer the next step is to communicate with those buyers. Communication may be through letters, fax or e-mails. A formal letter includes detailed profile of the company, address, contact details, production details, total employees, product details, existing buyers, annual sales turn over, accreditations, infrastructure etc. It should be followed up till the company receives a prospective enquiry from the buyer and consequent order conformation. An exporter should prepare to cover the overhead expenses that would be incurred during the initial stage. After getting the approval, the exporter would send samples and enquiries for future business relationship.

12.6.4 Enquiry and Sampling

Requisition sent by buyer asking price details of the product which they want to place the order is an enquiry. The general content of the enquiry may have the details of garment style, fabric, colour and assortment and proposed order quantity. An enquiry received from the buyer may not be the confirmation of order placement. So the buyer will ask for samples of their enquiry along with the price before confirming the order.

12.6.5 Pre-Costing

After receiving an enquiry from the buyer the merchandiser has to do the pre-costing for the product which is mentioned in the enquiry. Pre-costing is the process of estimating the tentative price for the product. While doing costing various factors like style, fabric, colour and design, order quantity, current exchange rate and accessories have to be taken into consideration. The document that communicates all the details about a garment inside and outside a company is Specification sheet. After pre-costing, it is sent to the buyer as a reply to his enquiry. The importance of costing depends on its degree of accuracy and the quick response to the buyer.

12.6.6 Order Confirmation and Acceptance

Buyer will confirm the order, after the approval of fit sample and the price. It will be in the form of order sheet or purchase order from the buyer. It should be in a proper format duly signed with the office seal of the buyer. After receiving the order sheet, the exporter has to read it carefully and confirm the order acceptance by duly signing the order sheet along with the office seal of the exporter. Then the copy of the same should be sent to the buyer. It is always advisable to start the order after receiving the Letter of Credit (L/C) from the buyer.

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